

Chapter Seven

Choice of law Rules Governing Property

Introduction

- Property rights are areas of law where the sovereignty of the state in which the property situated is most jealously guarded.
- Thus, we will see how the **law of the place of situs** affects the status of the property and the different types of transactions on properties that call for choice of law. i.e conveyances and encumbrances, and successions.

7.1. General Rules Governing Choice of Law In Property

- The object of the law of property is to provide a **secure foundation** so far as the law can do it, for the acquisition, enjoyment and disposal of wealth and that property of all type should be considered as value.
- As long as the state recognizes private property it must try to guarantee the security of property transactions.
- The appropriate questions that should be addressed in conflict of laws rules dealing with property are:
 - what law governs the creation, transfer and effect of property right?
 - Which law should determine whether the property should be considered as movable or immovable?
 - Are immovables and movables subject to the same law? And the like.

General Rules governing Property contd...

- Both immovables and movables are governed by **the *lex rei sitate*, i.e., the law of the state in which the properties are situated.**
- The definition of what properties are movable or immovable is different from country to country.
- In accordance to which law should we determine whether the property involved is movable or immovable?
- Authorities and the jurisprudence of many countries hold that **the *lex situs* decides whether the property is movable or immovable.** Not the *lex fori*.
- It is submitted that **law of the situs** should be quite broad and should include all questions related to **capacity and formal requirements** for the transaction.
- **The rationale behind** this assertion are
 - The *situs* has the greatest interest in deciding who shall own a property situated in its territory.
 - Parties dealing with the property would be likely to look to the law of the situs if they looked at any law at all.
 - More over the situs has an interest in regulating the security of transaction of property situated there.

7.2. Particular Rules Governing Dealings With Movable and Immovable

- The two specific areas under consideration are: conveyances and encumbrances
- **I. Rules Governing Conveyances of Immovable**
- Transfer of rights in immovable property may occur by a contract interred between the parties in which case it is called conveyance.
- In America and in European countries, the general rule is that the *lex situs* **is the governing law for all questions that arise with regard to immovable** property. Such as:
 - the capacity of the parties in conveyance,
 - the formal validity of the conveyance,
 - the validity of the conveyance in other respects, and
 - the nature of the interest transferred.
- **Exception:** when the local law of the situs feels that another state has stronger connection to the property than the situs.
- When the rules of capacity if the situs are not meant to apply other than on domiciliary.

- **II. Rules Governing Conveyance of Rights in Movables**
- Movable properties are classified in to:
 - Corporeal chattels (Choses in pocation)
 - and incorporeal chattels (Choses in action)
- Different rules apply to these categories of movable property.
- 1. ***Rules Governing Transfer of Choses in Possession***
- In this regard mention should be made of the doctrines of *lex domicili*, *the lex citus* , *the lex loci actus* and the doctrine of *the proper law of the transfer*.
- **Doctrine of proper law of transfer** is said to be the law of the country with which the transfer has the most real connection. It seems to work in the same way as the proper law of the contract considered in the previous chapter.
- Among the above four alternative doctrines, the modern approach of choice seems to be between the *lex situs* and the proper law of the transfer.
- In case of conflict between the two which should prevail depends up on the nature of the issues at hand i.e., whether the issue is contractual or proprietary.

- ***2. Rules Governing Transfer of Choses in Action***
- Intangible movables or choses in action or as known under the Ethiopian law incorporeal properties Include debts , negotiable instruments and shares.

A. Debts

- The proper law of transaction governing the original relationship are used to choose the applicable law.

- Negotiable instruments
- According to the generally accepted practice, the transfer of foreign negotiable instruments is determined by the law of the place where the transfer is effected, i.e., the law of the place in which the contact is made. This principle equally applies to a promissory note and a cheque.
- **Shares**
- When the shares are transferred in a country other than that in which the transfer of the shares is kept. In such a situation, the whole issue should be viewed from different aspects; the effect of transfer **as against the company**, and its **effects as regards the parties** to the transfer and persons claiming under them.
- In relation to the first situation, the determining law is the *lex situs of the shares*, and
- the second type of the situations is determined by **the proper law of the transaction**, which in practically all cases will be the law of the place where the shares have been delivered.

- **Encumbrances Against Movable**

The validity and effect of a security interest in a chattel as between the immediate parties are determined by the local law of the state which, with respect to the particular issue, has the most significant relationship to the parties.

- In the absence of an effective choice of law by the parties, greater weight will usually be given to the location of the chattel at the time that the security interest attached than to any other contact in determining the state of the applicable law.

- **Encumbrances on immovables**

- Whether a mortgage creates an interest in an immovable property and the nature of the interest created are determined by the law that would be applied by the courts of the situs.

7.3.Rules Governing Succession

- **I. Succession to Movables**
- **A. Intestate Succession**
- The rule has been established for some two centuries that movable property in the case of intestacy is to be distributed according to the law of the domicile of the deceased person at the time of his death.
- This law determines the classes of persons to take ,the relative portions to which the distributes are entitled ,the right of representation, the rights of surviving spouses ,the liability of a beneficiary for unpaid debts ,and all related questions.

- **B. Testate Succession**

- The general principle established concerning testamentary succession of movables both in England and U.S.A is that it is governed exclusively by the law of the domicile of the deceased as it existed at the time of his death.
- When a testator dies domiciled in a foreign country, leaving assets in another country, it is necessary to note that the action for succession should be made at the court of the country where the property is situated.
- Moreover it is true that assets must be administered in the same country according to the law of the situs.
- But nevertheless all questions concerning the beneficial succession must be decided in accordance with the law of the domicile.
- The duty of the executor is to ascertain who, by the law of the domicile, are entitled under the will, and that being ascertained to distribute the property accordingly.
- Capacity of a person to make a will or to accept a legacy, the validity of a particular provision in the will, the required form of the will and the manner of its execution also fall within the scope of the present rule.

- **II. Succession to Immovable**

- **A. Intestate succession**

- The devolution of interests in land upon the death of the owner intestate is determined by the law that would be applied by the courts of the situs. These courts would usually apply their own local law in determining such questions.
- There will be situations in any event where the courts of the situs would look to the local law of some other state to determine questions involving intestate succession to local land. i.e incidental questions.
- For example, although these courts would usually look to their own local law to determine what categories of persons will inherit upon intestacy, they might look to the local law of some other state to determine whether a given person belongs to one of these categories.
- So these courts would usually determine whether a person was a "wife" within the meaning of their local succession statute in accordance with the local law of the state selected by the law governing the validity of the marriage.

B. Testate succession

- **Validity and Effect of Will of an Immovable**
- Whether a will transfers an interest in land and the nature of the interest transferred are determined by the law that would be applied by the courts of the situs. These courts would usually apply their own local law in determining such questions.
- The rule of this Section is applicable to questions relating to testamentary dispositions of interests in land.
- The present rule determines the capacity of a person to make a will or to accept a devise, the formal validity of the will and the validity of the will in other respects.

7.4. Rules Governing Choice of Laws in succession

Under the Federal Conflict of Law

- Relevant provisions are Art.66 and 67 of the draft.
- I. **Succession to Immovable Property (Both Testate and Intestate)**
 - As stated under Art. 66, succession of immovable property is subject to the laws of the **place where the property is situated**.
 - This emphasizes the importance of the place of situs for all matters relating to the immovable property one of which is transfer by succession.
- II. **Succession to Movable Property (Testate and intestate)**
 - The provision of Art 67 provides that succession to movable property whether testate or intestate shall be governed by the personal law of the deceased at the time of his death.
 - Both provisions lack sufficient specificity to enable Ethiopian judges identify and apply the appropriate law governing the matter. It seems that all issues related to succession except construction of will are supposed to be governed by single law.

succession under the Federal Conflict of Law contd...

- **Construction of Wills**

- It tries to separately govern under specific provision of Art. 68 matters relating the substantive validity of testamentary provisions and other provisions mortis cause and the construction of the intention of the testator or person making the provision .
- It makes them subject to **the personal law of the deceased at the time of his death**, .i.e. the law of his domicile.

- **General Observation**

- Generally, the content of the above stated provisions seems to be similar to the principles embodied in the laws and practices of other countries we have discussed.
- However, they lack specific details that would enable courts of Ethiopia too deal with the various issues that arise in this connection. For instance the provision dealing with wills does not cover issues related to formal validity of wills.
- They need some detail to make them capable of guiding Ethiopian courts to decide cases containing foreign element.
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